

1 Ongoing and completed JMP research

My job market paper constructs a standard HA model of consumption-saving for households who are ex-post heterogeneous due to idiosyncratic labor income risk. Additionally, I allow for households to be heterogeneous ex-ante, as in the models by Kaplan and Violante 2022 and Carroll et al. 2017. Most such models assume that the rate of return is identical across households, which very recent work by Fagereng et al. 2020 has discovered evidence against.

Preliminary results of a simulated method of moments estimation show that such rate of return heterogeneity is sufficient to match measurements of inequality from the Survey of Consumer Finances. This result holds both for the baseline model where households solve an infinite horizon problem, and for a realistically calibrated life cycle version of the model.

My work is similar to three strands of literature regarding heterogeneous returns in life-cycle consumption-saving models:

- Research which models the heterogeneity in returns using entrepreneurial talent.
- Research which calibrates the model using data on return heterogeneity.
- Research which estimates return heterogeneity (along with other parameters).

My work is different from the first strand in that the assumed return heterogeneity in my model take no stands on where these differences in returns comes from. This allows for other explanations from the literature, like financial sophistication or trust in financial institutions, to be explored in an extension of this model.

My work is different from the second in that I estimate the return distribution directly by finding the one which allows the chosen moments of the simulated wealth distribution to match the moments of the wealth distribution in the data. This allows me to compare how well return heterogeneity does to say, time preference heterogeneity, in matching those same wealth moments.

My work is different from the third strand in a nuanced but important way. (finish this)

1.1 Other directions for research

My second chapter, as it currently stands, is interested in the relationship between trust and the rate of return.

Butler, Giuliano, and Guiso 2016 uses data from the European Social Survey to establish an empirical relationship between trust levels measured in the survey and income data for the households. In particular, the paper finds that there is a “right amount of trust”. That is, the relationship between trust and income is humped shaped. An intermediate level of trust is associated with the maximal level of income.

There is recent work Daminato and Pistaferri 2024 which uses the PSID to compute a measure of returns to wealth. This, along with a measure of trust which can be found in

the HRS, can be used in an statistical model to estimate a relationship between trust and returns, which would be interesting. In particular, does the hump-shaped relationship between trust and economic performance found in Butler, Giuliano, and Guiso 2016 holds also for returns to wealth? If so, perhaps this provides as adequate motivation to consider a model similar to the one from my JMP which allows for households to differ in there trust levels.

From there, I could use data on varying degrees of trust across individuals to calibrate the model and produce return heterogeneity through that channel. A nice result would be that this model, with heterogeneity in trust, also is able to generate significant inequality in the model's simulated distribution of wealth.